The world in brief

Catch up quickly on the global stories that matter

Photograph: AP

Jerome Powell said he had “no choice” but to remain on the **Federal Reserve’s** board until the Justice Department’s criminal investigation into America’s central bank was “well and truly over”. The outgoing Fed chair was speaking after the board voted to hold interest rates steady. The move drew four dissents—three from regional presidents who objected to language suggesting the Fed would eventually resume cutting rates.

The price of **Brent crude**, the global oil benchmark, rose to nearly $120 a barrel—its highest level since 2022—as fears of escalation in the Middle East intensified. Donald Trump said he would maintain a naval blockade of Iran’s ports until it agrees to curb its nuclear programme. Meanwhile, the Pentagon said the war in Iran has cost about $25bn so far.

America’s Supreme Court ruled 6-3 to weaken the **Voting Rights Act**, which forbids racially-discriminatory voting practices. In striking down a Louisiana electoral map designed to protect minorities’ voting power, the court decided the VRA did not entitle states to consider race when redistricting. Elena Kagan, a dissenting liberal justice, lamented the “now-completed

demolition” of one of America’s “most consequential, efficacious and amply justified” acts.

Mr Trump said he raised the idea of a limited ceasefire in **Ukraine** during a call with **Vladimir Putin**, adding that Russia’s president “might” go along with it. Earlier Russia attacked Ukraine’s port facilities in the country’s southern Odessa region. The overnight drone strike also damaged a hospital and residential buildings, leaving two people wounded.

Police declared a stabbing in north **London** a terrorist incident after two **Jewish** men were seriously injured. Witnesses reported seeing a man with a knife in Golders Green, a neighbourhood with a large Jewish population. Police detained a suspect. Britain has seen a wave of recent antisemitic attacks. Sir Keir Starmer condemned the stabbing as “utterly appalling”. Israel’s President Isaac Herzog called for urgent action.

Families of the victims of one of **Canada’s** deadliest mass shootings sued **OpenAI** and its boss, **Sam Altman.** They alleged that although the 18-year-old shooter was flagged as a credible threat in her interactions with ChatGPT, the company failed to alert the authorities in a bid to protect its reputation. The court case was filed in San Francisco.

BP, a British oil major, signed a deal with **Venezuela** to explore for gas in the offshore Loran field, marking a return as the country opens its energy sector to foreign firms. Venezuela has already struck similar agreements with producers elsewhere, including Eni and Repsol. But high costs, weak infrastructure and political risk may still deter large-scale investment.

Figure of the day: 30%, the rise since November in the cost of renting Nvidia’s H100 AI chips. Read our story on the worsening bottlenecks in AI infrastructure.

Photograph: Getty Images

What the UAE’s exit means for OPEC

When OPEC meets on Wednesday, the club will be contemplating the departure of one of its longest-standing members. The United Arab Emirates will leave on May 1st after years of tension over production quotas, exacerbated by its rivalry with Saudi Arabia, the group’s biggest exporter and de facto enforcer.

The move will have little immediate impact. Iran’s blockade of the Strait of Hormuz is choking off exports across the Gulf, limiting the UAE’s ability to raise output even outside the cartel. But once flows resume, the country will be free to pump without restraint; it plans to raise production capacity to around 5m barrels a day by 2027, up from 3.6m before the war.

That could complicate OPEC’s efforts to manage supply. Saudi Arabia may have to cut output further to support prices, especially if others also chafe at quotas. The cartel has weathered exits before. Yet as internal strains deepen and its share of global production declines, its influence over oil markets looks set to weaken.

Photograph: Getty Images

An end to the Powell era at the Fed

It briefly looked as though Jerome Powell would remain Federal Reserve chair beyond the end of his term in May; Thom Tillis, a Republican senator, threatened to hold up the appointment of his replacement, Kevin Warsh, unless the Department of Justice dropped a spurious probe into Mr Powell. On April 24th the DOJ backed down. Wednesday's interest-rate decision and press conference are almost certainly Mr Powell's last. With inflation rising again, expect the bank to hold rates.

No Fed chair since Paul Volcker in the 1980s has had to deal with so nasty an inflation shock. And none since Arthur Burns in the 1970s (at least) has faced quite so much political interference. A zen retirement may be some way off, though. Former chairs usually depart the bank, but Mr Powell has vowed to stay on as one of seven governors until the DOJ investigation is wrapped up (some loose threads remain) and possibly beyond. Per the central bank's rules, he could stay until 2028.

Photograph: Getty Images

Big tech goes all in on AI

Investors are holding their breath. Four big tech firms with pledges to spend upwards of $600bn this year on AI infrastructure report earnings on Wednesday. Alphabet, Amazon, Meta and Microsoft, collectively worth almost $12trn, will provide an unprecedented snapshot of the state of AI computing. The cloud businesses of Alphabet and Amazon are likely to benefit from their close relationships with Anthropic, an AI lab whose revenues surged in the past three months. Microsoft, which has had stronger links with OpenAI, maker of ChatGPT, will be closely watched to see whether its software business, particularly its Copilot AI chatbot, is accelerating.

The question for Meta is whether strong ad revenues and job cuts announced this month will help cover capital spending. A broad concern is whether all four can fulfil their spending plans. Data-centre construction is suffering from popular opposition in America, and chips and energy are in short supply. The mega-caps are not all masters of their own destinies.

Photograph: Reuters

AstraZeneca’s moveable feast

On Wednesday AstraZeneca reported an 8% year on year increase in quarterly revenue to $15.3bn, driven by demand for its cancer drugs. The results also indicate that the firm’s statesmanship has paid off.

Last year, the Anglo-Swedish drugmaker pledged a $50bn investment in America. It said the decision was driven by “belief in America’s innovation”—nothing to do with looming tariffs. The Trump administration granted it a three-year exemption shortly afterwards. Sir Pascal has also courted China, where AstraZeneca is investing billions of dollars. Such manoeuvring is one reason AstraZeneca’s valuation has grown almost six-fold under his tenure.

The same strategy was in evidence on Wednesday as AstraZeneca also announced a £300m ($405m) investment in Britain in “recognition” of a trade deal that secured zero tariffs on British medicine exported to America and higher prices paid by the NHS for new drugs. After rocky relations with Britain’s government last year, the prime minister hailed AstraZeneca’s “vote of confidence”. Diplomacy, it seems, pays dividends.

Riding high

AstraZeneca, market capitalisation, £bn

Source: LSEG Workspace

Photograph: Getty Images

Donald Trump’s immigration policy in court

On Wednesday America’s Supreme Court will consider the Temporary Protected Status programme, a target of Donald Trump’s crackdown on immigration. As of March 2025, some 1.3m people from 17 countries ravaged by war or humanitarian crises were protected from deportation and authorised to work in America under TPS.

Mr Trump’s attempts to terminate many of these designations have faced resistance from lower courts In two related cases, the Supreme Court will decide whether the abolition of TPS for 350,000 Haitians and 6,000 Syrians is legally sound.

The government argues its decisions to cancel these designations are not subject to judicial review. And, even if they are, it insists its actions were valid and based on “weighty foreign-policy and national-security considerations”. Challengers counter that the government seeks “a massive expansion of power” and has not adequately considered conditions in Syria and Haiti. A decision is expected by July.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: The median appears at which point of a statistical distribution?

Tuesday: Which breed of horse, originating in England, was notable for its strength, being used to pull canal boats and brewers' carts, as well as farm equipment?

Economics is extremely useful as a form of employment for economists.

John Kenneth Galbraith